CORNING INCORPORATED

NYSE: GLW | Optical fibre, cable and connectivity, plus display, phone, car and solar materials | Corning, New York

Tommy Lau | 6 October 2026 | Initiation of coverage | Independent research

INITIATE AT NO CALL	**Target price:** None (no call)	**Last price:** US$159.37 (NYSE close, 5 October 2026)	**Upside:** Base value US$146 (-8%)

Corning's AI fibre is sold out. At US$159, the shares already pay for it to stay that way.

Corning makes the glass fibre that carries data between AI chips. On 1 October I argued that this fibre outlives every chip generation and that Corning is paid each time a campus grows. The claim is holding: optical sales rose 32% in the second quarter, data centre sales 65%, and the segment's net margin reached a record 21.1%.

The US$2bn share sale set up in September is not a warning about demand. Being sold out means paying for factories first: capital spending rises to about US$2bn this year, and customer deposits cover only part. The shares are the harder part. At US$159.37 they trade at 49 times my 2026 core earnings and need optical sales of about US$16bn in 2028, 2.6 times 2025.

My call: NO CALL, medium conviction. My base case is worth US$146, down 8%. The bear case is US$86 (down 46%) and the bull case US$220 (up 38%). I would revisit below about US$127.

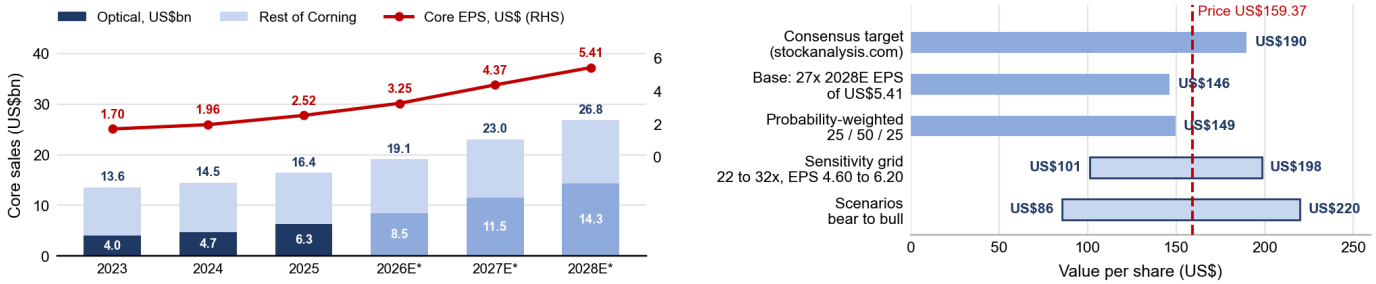
Stock data
LAST PRICE **US$159.37, NYSE close 5 October 2026; 52-week range US$77.39 to 271.78**
MARKET VALUE **About US$137bn on 861m shares; net debt US$5.9bn at 30 Jun 2026**
CORE P/E, MY ESTIMATES **49.0x 2026E, 36.5x 2027E, 29.4x 2028E**
CONSENSUS **Core EPS US$3.28 2026, US$4.29 2027, US$5.64 2028 (Nasdaq.com, Zacks); target US$190 (stockanalysis.com)**
DIVIDEND **US$0.28 a quarter, yield 0.7%**
OPTICAL COMMUNICATIONS **38% of 2025 sales; Q2 2026 sales US$2.07bn, up 32%**
SHARE SALE **Up to US$2bn at the market, filed 11 Sep 2026; about 1.5% of shares at today's price**
Q3 2026 GUIDE (28 JUL) **Core sales US$4.9 to 5.0bn; core EPS US$0.85 to 0.89**
NEXT RESULTS **Q3 2026: Tuesday 27 Oct 2026, 8:30am Eastern**

Key financials (core basis)

US$ billion unless stated	2023A	2024A	2025A	2026E*	2027E*	2028E*
Core sales	13.58	14.47	16.41	19.11	23.04	26.84
Of which Optical Communications	4.01	4.66	6.27	8.50	11.47	14.34
Optical growth (%)		16	35	35	35	25
Optical segment net margin (%)	11.9	13.1	16.7	21.4	23.0	24.0
Core net income	1.46	1.70	2.20	2.85	3.85	4.81
Core EPS (US$)	1.70	1.96	2.52	3.25	4.37	5.41
Consensus core EPS (US$)				3.28	4.29	5.64
P/E at US$159.37 (x)	93.7	81.3	63.2	49.0	36.5	29.4
Capital spending	1.39	0.96	1.28	about 2.0		
Adjusted free cash flow	0.88	1.25	1.72			

**2026E to 2028E are my own estimates. All income figures are Corning's core (non-GAAP) measures, which exclude currency hedge effects and one-off items; Corning guides on this basis. Q2 2026 GAAP EPS was US$0.64 against core US$0.78. 2026E uses the reported first half plus my third quarter (core EPS US$0.87, inside the US$0.85 to 0.89 guide) and fourth (US$0.91). Shares include the US$2bn programme, half sold by the 2027 average. History from Corning releases and Form 10-K.*

Two charts: optical becomes half the company, and a valuation that sits below the price

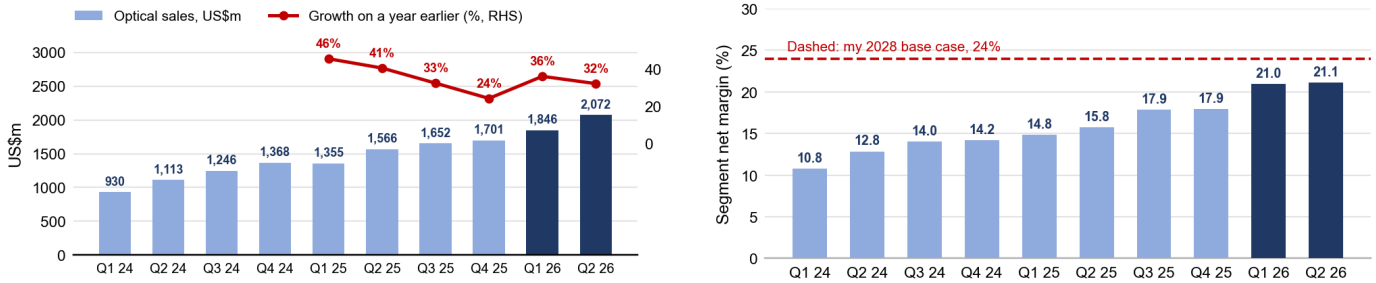


Left: core sales split into Optical Communications and the rest, with core EPS, 2023A to 2028E; 2023A to 2025A per Corning, the rest my estimates. Right: value per share from the base case, the probability-weighted cases, the sensitivity grid and the bear to bull range, against the US$159.37 price (red) and the stockanalysis.com average analyst target, retrieved 6 October 2026.

The thesis: the plumber who is fully booked

Go back to the pipes in the walls from the October piece. The plumber is fully booked, and three of the biggest builders in town have paid him in advance to keep a van free. He still has to buy more vans and hire more hands before he can take more work. The deposits help, but they do not cover the lot. Corning is that plumber.

The mechanism is showing up. Optical sales were US$2.07bn in the second quarter. Enterprise Networks, the data centre side, grew 65% to about US$1.27bn, 61% of the segment. The carrier side was about flat at US$0.80bn on my working, so all of the growth came from data centres. **The margin is the test.** The claim breaks if the segment margin falls while sales rise. It has risen every quarter since early 2024, from 10.8% to 21.1%.



Left: Optical Communications sales by quarter and growth on a year earlier. Right: segment net income as a share of segment sales, the claim's falsifier, against my 2028 base case (dashed). Source: Corning quarterly earnings releases, 30 April 2024 to 28 July 2026.

Customers are paying ahead, and becoming fewer and larger. Meta agreed in January to buy up to US$6bn of fibre and cable through 2030; two more hyperscalers signed similar deals by April; Amazon signed in June and Verizon in September. Contract liabilities rose from US$2.3bn to US$2.7bn in the first half. In 2025 two end customers bought 28% of optical sales. Long contracts steady volume, but the claim's third watch item, buyer concentration, is moving the wrong way.

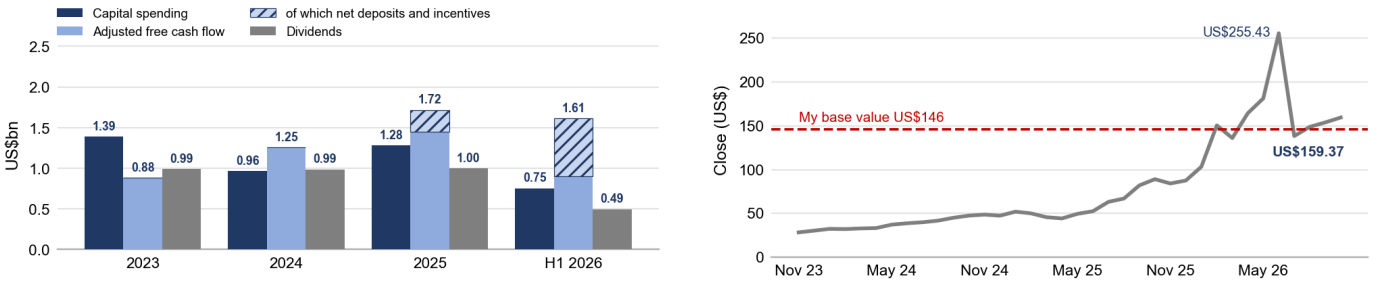
What Nvidia's US$500m bought

The 8-K of 6 May and the Q2 10-Q show Nvidia paid US$500m for a pre-funded warrant, in effect three million Corning shares. Corning also gave Nvidia a second warrant, over 15 million shares at US$180, for no separate payment. The 10-Q values it at US$296m and treats it as a payment to a customer, which comes off revenue as Corning delivers. The same note books a US$1.0bn customer deposit, to the end of 2029, against that warrant; the 10-Q ties it to the warrant's holder, which the 8-K shows is Nvidia. The deposit, not the US$500m, secures supply. This matters for the claim: buyers pay ahead, but the largest is also paid, about 30 cents of warrant per dollar of deposit. Scarcity is being shared, not kept.

Why a sold-out business set up a US$2bn share sale

On 11 September Corning set up an at-the-market programme with Goldman Sachs for up to US$2bn of new shares, for general corporate purposes. The shares fell 13.7% on the next trading day. Corning has not said why. Its own figures answer it. Capital spending was US$1.28bn in 2025 and is guided to about US$2.0bn in 2026, so the second half spends about

US$1.25bn against US$0.75bn in the first: three new plants under the Nvidia deal and the Meta and Amazon expansions in North Carolina.



Left: capital spending, adjusted free cash flow (Corning's definition; hatched: net customer deposits and government incentives) and dividends, 2023 to the first half of 2026 (Corning releases and 10-Q). Right: GLW month-end close, November 2023 to the 5 October 2026 close, not adjusted for dividends (Yahoo Finance, retrieved 6 October 2026), against my base value.

Adjusted free cash flow was US$1.61bn in the first half, but US$0.71bn of it was net customer deposits and incentives. Without them it was about US$0.90bn, against US$0.495bn of dividends and US$0.67bn of debt due within a year. None of this is distress: Corning has US$2.5bn of cash, an undrawn US$1.5bn credit line, and debt at 39% of capital against a 60% covenant. The full programme is about 12.5m shares, 1.5% dilution at today's price.

My answer: the programme is cheap insurance for a spending step-up that customer money only partly covers, raised while the shares trade at 49 times earnings. It shows demand is real and that meeting it is expensive. The 2027 spending plan, not yet given, is the number to watch.

Variant perception: what the market prices in, and where I differ

At US$159.37 Corning is worth about US$137bn, 49.0 times my 2026 core estimate of US$3.25 (consensus US$3.28), 36.5 times 2027 and 29.4 times 2028. At the end of 2024 the shares cost 18.9 times the core earnings Corning went on to report for 2025. The market has re-rated a glass company into an AI supplier.

What the price needs. By October 2027 the market will price 2028. At 27 times, US$159.37 needs 2028 core earnings of US$5.90, above the US$5.64 consensus. With the rest of Corning at my base case, that needs optical sales of about US$16.1bn at a 24% margin: 2.6 times 2025, and 38% a year from my 2026 estimate.

Where I differ. Not on the mechanism, but on how much of the next two years the price already holds. Holding one part at my base and swinging the other from bear to bull, optical moves 2028 earnings by US$2.06 a share and the rest of Corning by US$0.52. Optical is 4 times the bigger driver, and passes half of sales in 2028 on my estimates. At 43 times forward earnings Corning trades above the fibre and cable makers at 23.5 times and Amphenol at 29.4 times, though more than half of today's sales are still display, phone, car and solar glass.

Valuation, with the working

I value Corning on core earnings per share twelve months out, so on 2028. Sales are built in two parts, optical and the rest, each earning a segment net margin, less a corporate line of about US$0.16bn a quarter. I use 27 times: above the fibre makers' 23.5 times for Corning's fibre know-how and contracts, below Amphenol's 29.4 because late-2027 earnings will still be half glass, phones and cars. 27 x US$5.41 = US$146. My 2028 sales of US$26.8bn fall a little short of Corning's plan for a US$30bn run-rate by the end of 2028.

Scenarios: three cases, twelve months out

Case	What happens	2028 EPS	Multiple	Value	Change	Weight
Bear	Fibre loosens: optical grows 22% then 12%, margin 21% then 20%; rest grows 6% then 5%	US$3.89	22x	US$86	down 46%	25%
Base	Optical grows 35% then 25%, margin 23% then 24%; rest grows 9% then 8%	US$5.41	27x	US$146	down 8%	50%
Bull	New plants fill early: optical grows 45% then 32%, margin 24% then 25.5%; rest 12% then 10%	US$6.47	34x	US$220	up 38%	25%
Weighted	**25 / 50 / 25**			**about US$149**	**down 6%**	

All cases start from my 2026E (optical US$8.50bn, rest US$10.62bn). The bear case is not a collapse in demand: optical still grows by more than a third over two years, to US$11.6bn. Prices and margins slip as new fibre capacity, Corning's and China's, catches up, and the multiple falls towards the fibre makers'.

Sensitivity: 2028 core EPS against the multiple

2028 EPS	22x	27x	32x
US$4.60	US$101	US$124	US$147
US$5.41	US$119	**US$146**	US$173
US$6.20	US$136	US$167	US$198

Only 3 of the nine cells sit above today's price. Each needs earnings above my base, a multiple above 27 times, or both. Every figure is live in the accompanying model, so a change to growth, margin, dilution or the multiple moves the value.

Peer landscape

Company	Ticker	Forward P/E	What they make
Corning	NYSE: GLW	43.0x	Optical fibre, cable and connectivity, plus display, phone, car and solar materials
Prysmian	Milan: PRY	23.5x	Power and telecom cable, including optical fibre and cable
Fujikura	Tokyo: 5803	28.9x	Optical fibre, high-count cable and connectors
Sumitomo Electric	Tokyo: 5802	21.4x	Wire, cable and optical fibre, plus car wiring
Amphenol	NYSE: APH	29.4x	Connectors and cable assemblies, including for AI racks
Ciena	NYSE: CIEN	37.5x	Optical networking systems
Coherent	NYSE: COHR	35.4x	Optical transceivers, lasers and materials
Lumentum	Nasdaq: LITE	50.1x	Lasers and optical transceivers

Forward P/E from stockanalysis.com, retrieved 6 October 2026; Prysmian, Fujikura and Sumitomo Electric on their local listings. Corning at 43.0 times is priced with the makers of the plugs (Coherent, Ciena, Lumentum), not the makers of the pipes. Multiples only; no view on the peers' shares.

Catalysts

When	Event	What I watch
27 Oct 2026, 8:30am Eastern	Q3 2026 results and call	Optical sales and segment margin; Enterprise growth; Q4 guide; first word on 2027 capital spending
Early Nov 2026	Q3 2026 Form 10-Q	Any shares sold under the US$2bn programme; contract liabilities and deposits
Late Jan 2027	Q4 2026 results	The US$20bn run-rate; 2027 capital spending; optical at US$2.4bn a quarter
Feb 2027	Form 10-K for 2026	Customer concentration in optical, against 28% for two customers in 2025
2027	Samsung Display lock-up ends	58m shares free to sell; 22m more can be offered to Corning in tranches

Risks: what would hurt the view

The upturn runs longer. The bull case and the main risk to a no call. Corning says it could sell more if it could make more. If the new plants come on early and the margin rises towards 25%, 2028 earnings beat my base and the multiple holds. **Fibre loosens.** The bear case and the claim's own falsifier. Corning, Fujikura, Prysmian and Chinese producers are all expanding; a margin falling while sales rise would be the first sign.

Buyers take a bigger share. The Nvidia warrant shows the largest buyers can take part of the scarcity rent. **More shares.** The programme is about 1.5% dilution; Samsung Display's 58m locked shares free up in 2027; the Nvidia warrant adds 15m shares above US$180. **The rest of Corning.** Display, phone glass and solar are more than half of sales. Corning cited higher memory prices as a headwind for glass in July, and the solar ramp had a costly shutdown in the second quarter.

What would change our mind

Into a call: a price below about US$127, which would put my base case 15% above it; or fourth quarter results showing optical sales of US$2.4bn or more in the quarter at a segment margin of 23% or more, with the share sale largely unused. A falling optical margin before mid-2027 would bring the bear case forward.

The call is wrong if Optical Communications sales reach US$11.5bn or more in 2027 with a segment net margin of 24% or more, or the shares close above US$200 or below US$110 by October 2027.

Conclusion

The October piece argued that glass fibre is the part of the AI network that outlives every chip, and that Corning is paid each time a campus grows. Corning's own numbers back it: optical up 32%, data centre up 65%, and a record 21% segment margin. The share sale does not undercut the claim; it shows that being sold out costs money before it makes any. The shares are the harder part: at US$159.37 they price optical sales of about US$16bn in 2028. My call: NO CALL, medium conviction, base value US$146, range US$86 to US$220. Revisit below about US$127.

Appendix: forecast assumptions

Assumption	2026E	2027E	2028E	Basis
Optical growth	35%	35%	25%	H2 2026 US$2.22 and 2.36bn, mine
Optical segment net margin	21.4%	23.0%	24.0%	Q2 2026: 21.1%; scale and contracts
Rest of Corning growth	5%	9%	8%	Solar ramp; display and auto flat to low growth
Rest segment net margin	16.2% (H2)	16.5%	17.0%	H1 2026: 15.2%; Solar improving from Q3
Corporate line, US$bn	(0.64)	(0.70)	(0.76)	Core net income less segment net income
Diluted shares, m	875	881	888	Q2 2026 diluted plus the US$2bn programme
Target multiple			27x	Fibre makers 23.5x; Amphenol 29.4x; GLW 43.0x

Full workings, with live formulas, in the accompanying model, 2026-10-06_Corning_Model.xlsx.

Sources

Corning quarterly earnings releases furnished on Form 8-K, 30 April 2024 to 28 July 2026, for core sales, core EPS, segment sales and net income, margins, cash flow, capital spending and the Q3 2026 guide. Corning Form 10-K for 2025 (12 February 2026) for segment and product-line sales, customer concentration and the Samsung Display share agreement. Corning Form 10-Q for Q2 2026 (29 July 2026) for the customer deposit, warrant accounting, contract liabilities, liquidity and the 2026 capital spending outlook. Corning 8-K and press release of 6 May 2026 (Nvidia partnership and warrants). Corning 8-K and prospectus supplement of 11 September 2026 (at-the-market programme). Corning Q2 2026 earnings call, 28 July 2026. Meta, Amazon and Verizon announcements of 27 January, 8 June and 8 September 2026. Corning investor relations events page (results date). Consensus EPS from Nasdaq.com (Zacks); multiples and average target from stockanalysis.com; share prices from Yahoo Finance; all retrieved 6 October 2026. Estimates for 2026 to 2028 are the author's own.

About this note

I wrote this note and built the accompanying model independently. It is not a product of any bank or broker. It tests a claim from my journal piece of 1 October 2026, thephysicallayer.fyi/journal/corning-lays-the-glass; all notes and their track record are at thephysicallayer.fyi/research. Figures from company filings are labelled as such; derived figures are marked; the forecasts and view are my own estimates and my own view. I hold no position in Corning. Personal research, not investment advice.

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